Sovryn Raises $2.1M and Launches Bitcoin- Native DeFi Platform on RSK

Gibraltar – December 15, 2020

Sovryn, a decentralized platform for trading and lending Bitcoin, has launched and is fully open to the public today. Users can trade Bitcoin in a permissionless, noncustodial, and censorship-resistant way using the Sovryn application. Sovryn is developed on RSK, the Bitcoin-powered smart contract platform. Soon, Sovryn is expected to launch its decentralized governance platform as well.

The launch comes after Sovryn successfully raised $2.1 million in funding in a round that was oversubscribed by $1 million. Nevertheless, Sovryn's founders capped the funding at $2.1 million as the value is symbolic of Bitcoin's total maximum supply. The lead investor in the project is Greenfield One, with participation from Collider Ventures and Monday Capital, along with other funding supplied by investors holding significant value in bitcoin. Collider Labs and BlockVentures were among the first to join Sovryn, contributing initial capital and close support.

The insatiable appetite for decentralized finance among the cryptocurrency community has been one of the defining trends of 2020. However, until now, opportunities to cash in on the considerable value of Bitcoin, cryptocurrency's most valuable asset, have been limited within the DeFi sector.

Sovryn is a Bitcoin Layer 2 technology, leveraging the capabilities of the RSK Bitcoin sidechain. Sovryn provides native and noncustodial trading and lending of BTC. Users can trade long or short with up to five times leverage and enable holders of BTC, USDT and the Dollar on Chain (DOC) stablecoin to earn interest by lending their assets. They can also take advantage of low-cost, low slippage swaps between BTC, USDT and DOC using the Sovryn decentralized exchange with automated market-makers.

Prior to the launch, the Sovryn community and core developers have spent three months testing and auditing the platform's functionality.

In contrast to centralized platforms, which have been beset by issues this year, including hacks and criminal charges, Sovryn is completely noncustodial, censorship-resistant, with none of the counterparty risk of centralized alternatives.

The launch of Sovryn is a significant step forward in decentralized finance based on Bitcoin. RSK benefits from faster block times of around 30 seconds compared to the Bitcoin network's 10 minutes. At the same time, RSK is merge-mined with BTC, it has over 50% of the Bitcoin network hash rate, making it the most secure smart contract platform for DeFi applications, and exponentially more secure than Ethereum.
Edan Yago, one of the Sovryn community founders commented: "Bitcoin created a decentralized monetary system. With Sovryn we are providing Bitcoin with a decentralized financial system as well. Sovryn is for those who value self-sovereignty and who want to maintain control of their keys and their private data. With Sovryn, lending, trading and leverage are permissionless and censorship resistant."
Diego Gutierrez Zaldivar, IOVlabs CEO added: "Bitcoin provides the biggest addressable market for defi. RSK built on top of Bitcoin is the most secure smart contract platform in the world and enables greater scalability and low transaction costs. We are very excited about Sovryn trading and lending platform launch which provides a very strong offering to keep building momentum on the Defi for Bitcoin space".

In addition to the DeFi platform, Sovryn will launch its decentralized governance contracts later this month. Early users of the Sovryn protocol will have exclusive access to the SOV token 'Genesis' sale expected later in Q1 2020. Sovryn governance is forked from Compound governance, which is already established as a stable and reliable platform for proposing and voting on changes. Token holders can submit suggestions and vote based on the proportion of SOV tokens they hold, and successful proposals will be scheduled on the time lock contract. A minimum token stake and a minimum quorum are required for making successful proposals; however, the longer the stake is held, the more weight the vote will carry.

About Sovryn

Sovryn is a Bitcoin-based decentralized trading and lending platform. It's developed on RSK, a side chain of the Bitcoin blockchain powered by merge-mining, and is governed by the community.

For more information, visit https://sovryn.app/

About RSK

RSK network is the most secure smart contract platform in the world, secured by Bitcoin's unparalleled hash power via merge-mining.

RSK adds value and functionality to the bitcoin ecosystem by enabling smart-contracts, near instant payments, and higher-scalability.

The network scales to up to 100 transactions per second without sacrificing decentralization, and reduces storage and bandwidth using probabilistic verification, fraud detection, and more.

For more information visit https://www.rsk.co/rsk-blockchain/